WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SOMALIA

Africa

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Mogadishu (Banadir)	Federal capital and largest commercial centre; seat of the Federal Government, the Central Bank and most banks, telecoms and money-transfer operators	Financial services, telecoms and mobile money, construction, trade
Offshore basins (Indian Ocean coast)	Frontier hydrocarbon acreage where Türkiye launched the Curad-1 ultra-deepwater well in April 2026, about 370 km offshore Mogadishu	Oil and gas exploration, offshore services, port logistics
Bosaso (Puntland)	Northern Gulf of Aden port and a principal outlet for livestock exports to Gulf markets	Livestock trade, port logistics, fisheries
Berbera / Hargeisa (Somaliland)	Gulf of Aden port and trade hub; Somaliland is administered separately and claims independence, which the Federal Government does not accept	Port logistics, transit trade, light industry (subject to jurisdictional due diligence)
Kismayo (Jubaland)	Southern port serving the Juba valley and trade links toward Kenya	Agriculture, livestock, fisheries, port services
Shabelle and Juba river valleys	Somalia's main irrigated farming belt, supplying food crops and export produce	Agriculture, agro-processing, irrigation
Coastline and Exclusive Economic Zone	More than 3,000 km of Gulf of Aden and Indian Ocean coastline offering largely untapped fisheries and blue-economy potential	Fisheries, cold chain, maritime services

INVESTOR ENTRY ROUTES

- SOMINVEST (Somalia Investment Promotion Office), within the Ministry of Planning, Investment and Economic Development, provides investor facilitation, registration support and sector guidance
- The Investment Law passed by Parliament in November 2025, which establishes a National Investment Council, one-stop-shop procedures and priority sectors, with implementing regulations being drafted in 2026
- Petroleum sector entry through the Ministry of Petroleum and Mineral Resources, following Türkiye's first offshore deepwater drilling campaign
- Central Bank of Somalia supervision of banks and payment providers; the US dollar is widely used, and currency reform to restore the Somali shilling is a national priority being prepared with IMF advice
- Regional market access through East African Community membership and ratification of the African Continental Free Trade Area, coordinated by the Ministry of Commerce and Industry

- Planned designated industrial zones and a 'Made in Somalia' export brand under the Ministry of Commerce and Industry's AfCFTA implementation agenda

MARKET-ENTRY OBSERVATION

Somalia in October 2026 is an early-stage frontier market with a decade of recovery behind it and a strengthening institutional base. The World Bank estimates growth of about 3% in 2025, with inflation at 3.7%, and the IMF's October 2026 Article IV mission projects 2.3% growth in 2026, 2.7% in 2027 and around 4% over the medium term, with a contained fiscal deficit of 0.9% of GDP. FDI inflows reached an estimated $834 million in 2025 according to UNCTAD data. Reaching the HIPC completion point in December 2023 delivered $4.5 billion of debt relief and cut external debt from 64% of GDP in 2018 to under 6%, normalising relations with international lenders. A new Investment Law, East African Community membership, AfCFTA ratification, Türkiye's first offshore deepwater well and plans to restore a national currency mark a clear direction of travel toward a more formal, investable economy.

Somalia's main structural challenge is security, together with a political settlement still being completed. Al-Shabaab still holds large rural areas and can strike population centres, and the national army, backed by an African Union mission, continues operations against it, while the electoral commission has set parliamentary elections for April 2027 and a presidential election for 15 May 2027 after a contested one-year term extension. The private sector has shown considerable adaptability in this setting: Somali firms built widely used mobile-money and money-transfer networks, livestock exports serve large Gulf markets, and resilient remittances remain an important source of household income and foreign exchange. For investors, structured security planning, careful counterparty screening and partnership with established Somali firms or development-finance institutions provide a practical route to participate in reconstruction, infrastructure, energy and trade opportunities as stability consolidates.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
UN and national sanctions on al-Shabaab	Al-Shabaab is subject to a UN sanctions regime renewed by the Security Council in December 2025 (Resolution 2806), including an arms embargo and measures against charcoal exports, alongside national counter-terrorism listings	Retain sanctions counsel, screen all counterparties, agents and supply chains against UN, US, UK and EU lists, and avoid any dealing that could benefit listed persons or illicit taxation
Security conditions	Al-Shabaab still controls large rural areas of central and southern Somalia and can strike population centres, though government and African Union forces have pushed it back	Use professional security providers and site-specific risk assessments, focusing initially on Mogadishu and comparatively stable coastal hubs
Somaliland's status	Somaliland operates its own administration and seeks recognition; Israel recognised it in December 2025, while the Federal Government rejects this and regards Somaliland as part of Somalia	Take legal advice on licensing, title and dispute resolution for any Somaliland or cross-jurisdiction project, and keep federal and Somaliland engagement clearly structured
Political transition and federal–state relations	Parliament's one-year extension of the President's term was criticised by the opposition, with parliamentary elections set for April 2027 and a presidential vote for May 2027	Map both federal and member-state approvals early and build election-period timelines into project planning
Currency and financial-sector depth	The economy is largely dollarised, and the banking sector is small, with correspondent-banking links still limited	US dollar contracting reduces currency risk; use well-established Somali banks and international correspondent channels, and track the shilling reintroduction
Aid reductions and climate shocks	Aid retrenchment and climate shocks are the main near-term risks, with the IMF projecting 2.3% growth and inflation of 6.5% in 2026	Prioritise sectors with private demand such as telecoms, trade and livestock exports, and consider climate-adaptation projects backed by development finance
Legal framework still maturing	The Investment Law's regulations are still	Use international arbitration clauses,

Issue	Potential Impact	Possible Mitigation
	being drafted, other sector laws are maturing and commercial courts have limited capacity	SOMINVEST facilitation and DFI co-investment to strengthen contractual protection

INVESTOR RISK NOTE

Somalia's risk profile is that of a recovering frontier economy with improving institutions and genuine first-mover opportunities. HIPC debt relief, an IMF-supported reform programme, a new Investment Law and membership of the EAC and AfCFTA are concrete reforms that have reconnected Somalia with international finance and regional markets. Legal realities should be stated plainly: al-Shabaab is subject to a UN sanctions regime renewed in December 2025 under Resolution 2806, and to national counter-terrorism designations, so any investment requires rigorous sanctions and anti-money-laundering screening of partners, agents, logistics providers and payment channels, with specialist legal counsel. The UN arms embargo exempts deliveries to the Federal Government and its security forces, while restrictions aimed at al-Shabaab remain. Somaliland's disputed status also requires careful legal structuring for any project there. Security risk is real but geographically uneven, and investors who concentrate initially on Mogadishu and the main ports, use professional security support and partner with established Somali firms or development-finance institutions are well positioned to benefit as stability and the political settlement consolidate.

MARKET ACCESS

Somalia signed the East African Community accession treaty in December 2023, becoming the bloc's eighth member, and in 2026 became the 50th country to ratify the African Continental Free Trade Area, with plans for industrial zones and a 'Made in Somalia' export brand. Somalia is also a member of the Arab League and is pursuing WTO accession. Its exports are led by livestock, shipped mainly to Gulf markets through the northern ports, alongside sesame, fish and other agricultural produce. With more than 3,000 km of coastline facing the Gulf of Aden and the Indian Ocean, close to the Bab el-Mandeb shipping lane, Somalia is well placed to develop port, transit and logistics services serving the Horn of Africa, including landlocked Ethiopia, following the Ankara Declaration that restored Somalia–Ethiopia relations.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Hassan Sheikh Mohamud)	Sets national policy on security, federalism, the 2027 electoral process and economic reform, including the oil and currency agendas	Primary reference point for Somalia's strategic direction and major state partnerships
SOMINVEST (Somalia Investment Promotion Office)	National investment promotion agency, formally established by the 2025 Investment Law	Standard first point of contact for market entry, registration and incentive guidance
Central Bank of Somalia	Supervises banks and payment providers, advances financial inclusion and is preparing the restoration of the Somali shilling	Key counterpart for financial-services entry, payments and compliance standards
Ministry of Finance	Leads fiscal policy, the IMF programme and relations with international lenders	Relevant for public-investment pipelines, tax matters and DFI-backed projects
Ministry of Petroleum and Mineral Resources	Manages licensing and regulation of oil, gas and minerals, including the partnership behind the Curad-1 offshore well	Essential counterparts for any upstream energy or mining engagement
Ministry of Commerce and Industry	Leads EAC and AfCFTA integration, WTO accession and planned industrial zones	Relevant for trade, manufacturing and market-access strategy
Federal Member State administrations (e.g. Puntland, Jubaland)	Control many local approvals, ports and land matters within the federal system	Engage alongside federal authorities for projects outside Mogadishu

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Somali Chamber of Commerce and Industry is the main domestic business association, and Somalia's leading private groups in telecoms, banking, money transfer and trade are the most valuable sources of practical market intelligence. Business forums in Mogadishu with EU, Chinese and Italian partners provide structured networking with officials and companies. Türkiye, the UAE, Qatar and other Gulf partners are active in ports, infrastructure and energy. The World Bank, the African Development Bank and the IFC run programmes in infrastructure, financial inclusion and private-sector development, and the AfCFTA Secretariat has begun implementation cooperation with Mogadishu.

INVESTOR PROFILE BEST SUITED

Somalia best suits investors with frontier-market experience, a strong compliance function and a long-term horizon: telecoms, fintech and payments investors building on very high mobile-money usage; logistics and port investors positioned for Horn of Africa trade; agribusiness, livestock and fisheries investors serving Gulf and East African demand; and energy investors able to engage in frontier offshore exploration alongside established partners. Diaspora investors and development-finance co-investors are especially well placed, while construction, renewable power and water projects linked to DFI programmes offer lower-risk entry points.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and security due diligence before engagement
Retain sanctions counsel and a security adviser to screen partners and supply chains against UN, US, UK and EU lists and to assess site-specific conditions.

STEP 2: Engage SOMINVEST on the new Investment Law
Open dialogue with the investment promotion office on registration, protections and incentives under the 2025 Investment Law and its forthcoming regulations.

STEP 3: Clarify jurisdiction and approvals
Map federal, member-state and, where relevant, Somaliland requirements early, taking legal advice on licensing, land and dispute resolution.

STEP 4: Partner with established Somali firms or DFIs
Work with proven local groups or alongside the World Bank, IFC and African Development Bank to share risk and strengthen governance.

STEP 5: Track the oil, currency and electoral milestones
Follow Curad-1 drilling results, the Investment Law regulations, the shilling restoration and the April–May 2027 elections to time entry decisions.